

Fraud Detection & Prevention Policy

Internal Reference Document — Retail Banking Division

Reference: FDP-2024-v1.0 | Version: 1.0 | Confidential

1. Overview

This document defines the fraud detection framework, risk scoring methodology, escalation procedures, and customer dispute resolution process for all retail banking accounts. All agents handling fraud-related queries must adhere to the thresholds and procedures outlined herein.

2. Transaction risk scoring

Every transaction is assigned a risk score between 0.0 (no risk) and 1.0 (highest risk) based on the following weighted signals:

Signal	Weight	Trigger condition
Transaction hour (1am–4am)	0.30	Time outside 06:00–23:00 IST
Unknown or new merchant	0.25	Merchant not seen in last 90 days
Amount deviation	0.20	> 3x customer's 30-day average spend
Geographic anomaly	0.15	Transaction location > 500 km from home city
Transaction velocity	0.10	> 5 transactions within 30 minutes

3. Automated actions by risk score

Risk score range	Automated action	Notification
0.00 – 0.49	Transaction approved	None
0.50 – 0.74	Soft flag — logged for review	SMS alert to customer
0.75 – 0.89	Transaction held for 2 hours	Call + SMS to customer
0.90 – 1.00	Transaction blocked immediately	Call + SMS + email; card frozen

4. Specific fraud flag types

UNUSUAL_HOUR — Transaction between 01:00 and 04:00 IST with risk score > 0.70.
Auto-blocked pending customer verification.

LARGE_CASH — Single cash withdrawal above Rs. 40,000. Triggers compliance review under PMLA 2002 in addition to fraud flag.

UNKNOWN_MERCHANT — First-time transaction with a merchant not previously seen on the account.

VELOCITY — More than 5 debit transactions within any 30-minute window.

FOREIGN — Any international transaction on an account without international usage enabled.

5. Dispute resolution process

1. Customer reports unauthorised transaction via call centre (1800-XXX-XXXX), mobile app, or branch.
2. Agent raises a dispute ticket within the system within 30 minutes of the report.
3. Provisional credit of the disputed amount is applied to the account within 3 business days.
4. Investigation team completes review within 10 business days (45 days for international transactions).
5. Customer is notified of outcome. If fraud confirmed, permanent credit applied and card replaced.
6. If dispute not upheld, provisional credit is reversed and a detailed explanation provided.

6. Escalation matrix

Scenario	Escalate to	SLA
Risk score >= 0.90	Fraud ops team	15 minutes
Customer disputes > Rs. 1 lakh	Senior fraud analyst	2 hours
Organised fraud pattern detected	Fraud investigations	Immediate
Customer reports identity theft	Fraud + compliance	30 minutes

7. Important contact numbers

24x7 Fraud Helpline: **1800-XXX-XXXX** (toll free)

Email disputes to: **frauddisputes@bank.com**

Branch walk-in accepted for disputes within **7 calendar days** of transaction.